

FRVO

FRVO N/A

Neutral \$35.09 ▼ 3.84%

52-Week Range
\$32.39 – \$42.65

Market Cap
\$10.32B

No Material Overnight Updates

WHAT'S CHANGED

- Stock down -3.84% to \$35.09, sitting at just 26% of 52-week range (\$32.39–\$42.65) with elevated volume (2.1M shares 6/18) suggesting capitulation after 6/17 bounce to \$36.49 failed.
- July \$30 puts saw 1,074 contracts at 7.1x open interest (\$209K notional) — defensive positioning ahead of potential summer Cape Station milestone updates; offset by bullish \$35 call sweep at 3.2x OI.

IMPLICATIONS

FRVO is consolidating near 52-week lows despite a constructive fundamental backdrop — recent WSJ/Barron's coverage on geothermal IPO momentum and bullish sell-side initiations (6/8) have failed to lift shares, suggesting the market is digesting valuation post-IPO rather than questioning the enhanced-geothermal thesis. With only 18.3% institutional ownership versus 22% insider holdings, the float remains under-owned by long-only money, leaving room for upward re-rating as project execution at Cape Station and additional hyperscaler PPAs validate scale-up. The unusual July put activity signals near-term downside hedging but should be read against the still-neutral 0.61 P/C ratio.

VALUATION

At \$10.32B market cap on ~\$285M FY26E revenue, FRVO trades at ~36x forward sales — rich on an absolute basis but defensible given >80% projected revenue CAGR through 2028 as Cape Station phases come online. We anchor our \$48 PT on ~20x FY27E EV/Sales, a discount to peer renewable IPP leaders given execution risk but a premium to traditional utilities reflecting AI-driven baseload demand. Multiple expansion driver: hyperscaler PPA announcements; contraction risk: drilling cost overruns or subsurface underperformance.

KEY RISKS

- Subsurface execution risk: enhanced geothermal at commercial scale remains technically unproven beyond pilot wells; flow-rate degradation would compress unit economics.
- Capital intensity: heavy capex through 2028 likely requires dilutive equity raises with stock near 52-week lows.
- Policy/tax credit exposure: any IRA rollback or 45Y/48E credit modification materially impacts project IRRs and PPA pricing.

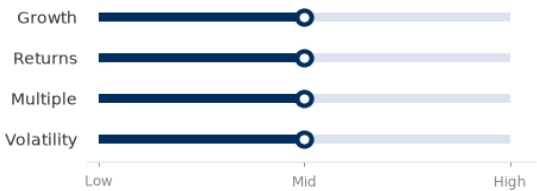
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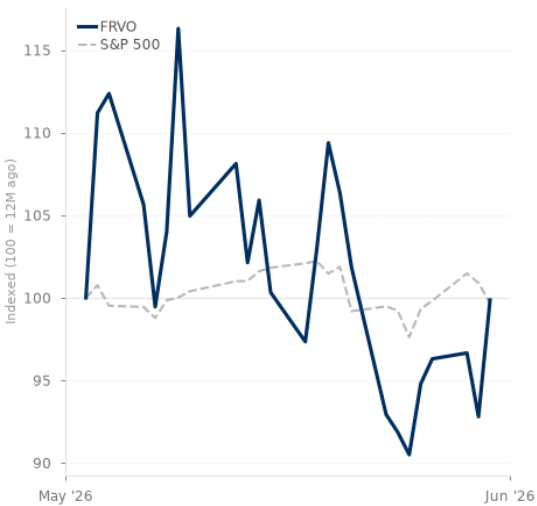
Key Data

Price (USD)	\$35.09
12M Price Target	—
Upside / (Downside)	—
Market Cap	\$10.32B
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	—	—	—
6 Months	—	—	—
1 Year	—	—	—
2 Years	—	—	—
5 Years	—	—	—
10 Years	—	—	—

SECTOR INTELLIGENCE

HOT SECTORS: Clean Energy Infrastructure, AI Power/Datacenter

COLD SECTORS: Traditional Utilities, Residential Solar

ROTATION WATCH: Capital is rotating from rate-sensitive residential solar (SunRun, Sunnova) into utility-scale clean baseload (geothermal, nuclear SMR) as hyperscaler power demand drives long-duration PPA economics independent of consumer financing.

BYPRODUCT PLAY: Geothermal scale-up benefits oilfield services with horizontal drilling exposure (LBRT, NEX) as Fervo-style EGS leverages shale toolkits; also bullish for transmission/grid interconnect names.

OUTPERFORMERS & PEER CONTEXT

- ORA (Ormat Technologies): legacy geothermal operator benefiting from secular re-rating; reference comp showing investors paying premium for proven flow data.
- VST (Vistra): baseload power + AI datacenter PPA narrative trading at expanded multiples, validating the FRVO thesis.

FRVO CONTEXT: FRVO is lagging the broader clean-baseload trade — at 26% of 52-week range while VST/CEG sit near highs — reflecting post-IPO digestion and earlier project stage rather than thesis breakdown. Relative weakness creates the entry opportunity.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio

Entry Points: Current levels

Time Horizon: 12 months

Thesis Invalidation: Significant revenue miss or macro deterioration

Hedging: See key risks